

SEPTEMBER 2022

Curves®

INFORMATION MEMORANDUM

Changing lives **in 30 minutes!**

DIAS
advisors

Compiled by
DIAS Advisors Limited



Private Placement Memorandum

By accepting this private placement memorandum, you, the offeree shall keep in confidence the contents of this ppm and the contents of any and all attachments. Information herein shall only be shared with the offeree's accounting and legal counsel.

Confidentiality

No person has been authorized to give any information or to make any representations in connection with the offer made by this private placement memorandum, nor has any person been authorized to give any information or make any representations other than those contained in this private placement memorandum, and if given or made, such information or representations must not be relied upon.

This private placement memorandum does not constitute an offer to sell or solicitation of an offer to buy in any jurisdiction in which such an offer or solicitation would be unlawful or to any person to whom it is unlawful to make such an offer or solicitation. Neither the delivery of this private placement memorandum nor any sale made hereunder shall, under any circumstances, create an implication that there has been no change in the affairs of our company since the date hereof.

Curves



Contents

Company Summary

Snapshop: Key Facts & Figures

Investment Highlights

Vietnamese Women Are Currently Underserved By The Fitness Industry

- The Locations & Prices Of Fitness Centers Are Demotivating Participants
- Uneven Distribution Of Fitness Studios In Vietnam
- The Costs To Open Or Franchise A Gym Or A Fitness Center Are Extremely High

Too Many Obstacles Discouraging Women To Participate In Gym Fitness

- It Is Not Easy To Change Vietnamese's Exercise Habits, Which Are Mainly Focused On Running, Walking & Tai Chi
- Not Many Gym Or Fitness Chains In Vietnam Focus On Women's Experience Only
- Obstacles Women Face When Participating In Gym

Vietnam's Growing Economy Results In Rising Consumer Spending

- Vietnam To Become Southeast Asia's Fastest-Growing Economy

Vietnamese, Especially Women, Care More About Health & Lifestyle

CURVES Exists And Grows To Resolve Current Issues And Provide Values To Related Parties

Intangible Assets

- Tried & Tested Business Model With Proven Success
- Mobile App
- Human Resources

Cost Leadership

- Studio Model With Small Lease Space Requires Low CAPEX
- Low Cost Of Franchising That Helps Expand Quickly
- CURVES Does Not Require Certified Trainers To Operate
- Low Cost Of Operation Due To Limited Hours Of Operations

Scalability

- Can Expand Very Quickly Due To Low Cost Models & Franchise Fees

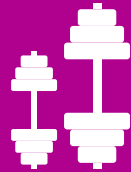
04	Small Store Model With A Focus On Quantities To Pursue A Broad Coverage	20
	Curves Business Model Only Takes 12 Weeks To Set Up & Open A New Studio, Including	20
06		
	Networking Effect	21
07	CURVES's Model Creates A Friendly & Supportive Community Where Women Can Work Out Comfortably Together	21
08	Established Customer Base For Leads: CURVES's Database Consists The Below Details For Each	21
08	Location	21
09	Partnerships With KOLs & Marketing Companies To Reach And Acquire More Customers	22
10	Curves' Products And Services	22
10	Services	22
	Products	23
11		
13	Business Model	24
14	Fitness Industry In Vietnam Is One Of The Promising Business Sectors To Follow The Awareness Of Vietnamese People Who Value A Healthy Lifestyle	24
14	High Level Of Population With Great Potential For The Fitness Industry	25
16	Rising Demand For Nutritional Supplements	26
17	Competitive Analysis	28
18	Go-To-Market Strategy	31
18		
18	Traction	31
18	CURVES International, CURVES Vietnam, Awards & World's Records, Partnerships	32
19	Team Profiles	33
19		
19	Fundings Required	34
19		
19	Financial Plan	34
	Financial Projections	35
20	The Offer	36
20		
	Contacts	

Company Summary

Curves International, Inc. (Curves for Women), founded in 1992, is the **world's largest fitness center franchise**.

Curves is the first fitness company to offer a complete 30-minute workout with facilities for women only. Curves International has proliferated to have **+6000 franchises after 7 years** of operation and register **more than USD 2.6 billion in revenue after 12 years** in the fitness industry.

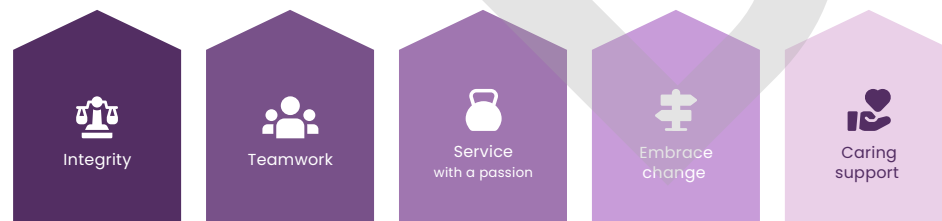
Curves Vietnam (hereafter called Curves) was founded in 2011 as a subsidiary of Curves International. Curves is the only gym chain serving women to get healthier & prettier by the core principles of **"No men - No mirrors - No makeup"**



The company was born to solve women's barriers in getting fit as they have more than 27 clubs in Vietnam with 10,000+ active members. Curves provides Vietnamese women a comprehensive solution to get fit by creating a safe, supportive community on a foundation of service and commitment to results.

Curves has achieved a leading position in providing Vietnamese women's gym facilities and solutions to get fit in around Vietnam. With strong branding and reasonable prices, the company quickly gained customers' trust and grew rapidly to become one of the largest gym chains in Vietnam.

CORE VALUE



The company's revenue comes from two main sources: **direct revenue from its branches and franchise fees**.

REVENUE BREAKDOWN 2021



CURVES' PRODUCTS AND SERVICES INCLUDE BUT ARE NOT LIMITED TO

Services

- Gym membership
- Franchise fee

Products

- Merchandise
- Nutritional supplements (coming soon)

VISION

CURVES' aspirations are to solve women's barriers in getting fit by providing a convenient approach & high efficiency within a limited time budget.



MISSION

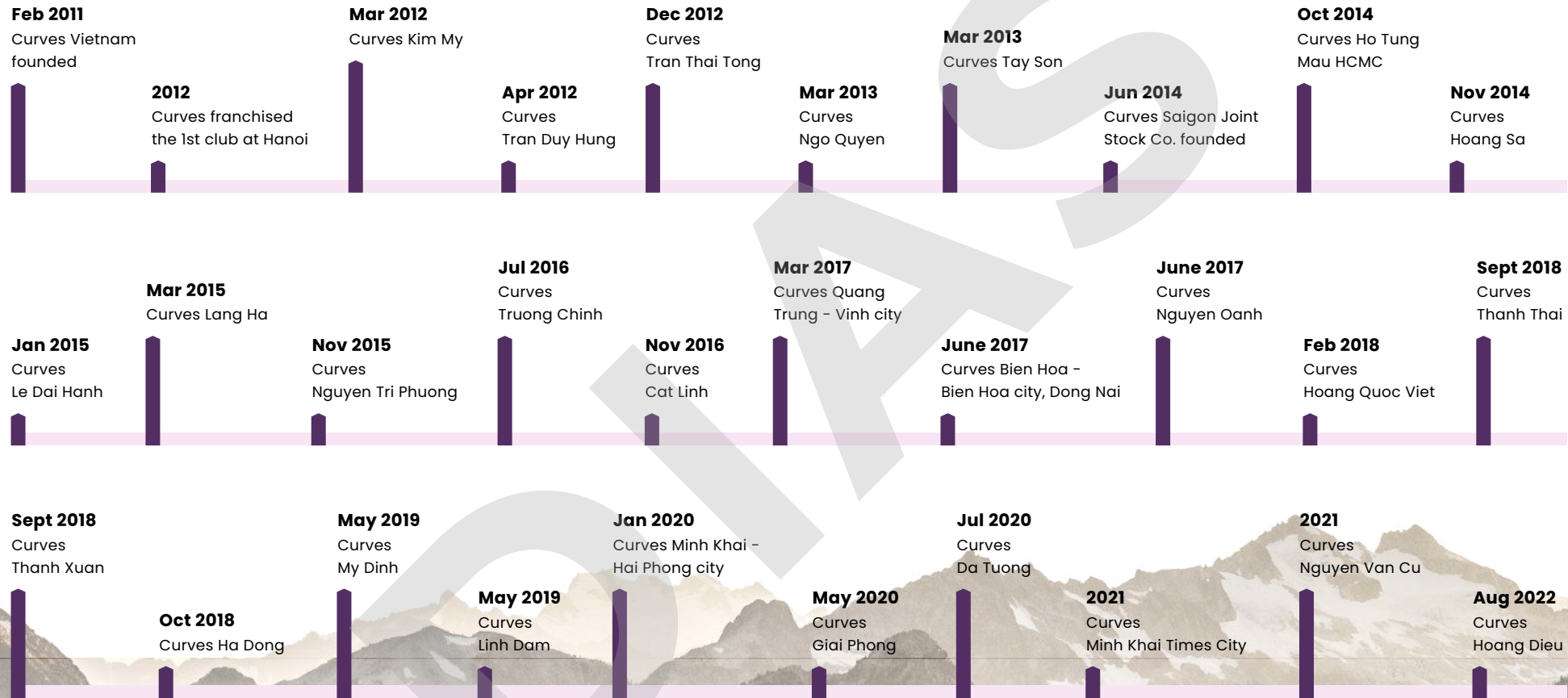
CURVES helps women achieve a better quality of life by strengthening their physical & mental health & promoting the habit of effective exercise.



MILESTONES

Curves is a franchise brand about fitness from the USA, established in 1992.

After 36 months, Curves franchise 1,000 clubs and in 10 years there were 10,000 clubs in 85 countries.



SNAPSHOT: Key Facts & Figures

Company Name CURVES VIETNAM COMPANY LIMITED	2021 Revenue* \$290,500	Transaction Value \$2,000,000
Year Registered 2011	2021 Operating Cash Flow (\$58,000)	Transaction Structure Straight Loan
Stage Growth	2022 - 1H Revenue* \$162,000	
Industry Leisure	1H2022 Operating Cash Flow* (\$49,000)	
Vertical Fitness	Revenue CAGR (2018-2019)* 15.7%	
Corporate Structure/Jurisdiction Limited Company	Revenue CAGR (2020-2021)* -51.0%	
Key Company Performance Metric ~9700 member 27 clubs 5 provinces of operation 30-40% referral rate	Forecasted Revenue CAGR (2023-2027)* 64.0%	

(*) Numbers are based on cash-based management reports.

Investment Highlights

Leading fitness gym chain that serves the uncontested market with proven-successful model	• CURVES has a sound history of serving women and only women in business with 30 years in America and the world, 11 years in Vietnam • World's Records: #1 Fitness Business Franchise, #1 Fastest Growing Franchise • Top 3 leading gym chains in number of studios with 27 clubs in 5 provinces
CURVES provides practical values to related parties	To CURVES International: • Increased brand awareness and quick expansion in urban and regional Vietnam To local business owners: • Opportunity to open an own-brand, high-profit margin with well-established positioning around the world • Lower cost and better operation in running a gym To female in fitness: • A comfortable and safe working out environment for women • Convenience, friendly community, reasonable timetable and membership packages which encourage women to engage in fitness • Tailored solutions and exercises focusing on customer experience
Intangible assets	• Tried & tested business model establishes a customer base which encourage word-of-mouth/organic growth • Strategic expansion plan to utilize leads and approach potential customers • Mobile app with value-added services
Cost leadership	• Studio model with low CAPEX • Low cost of franchising thanks to the effective business model with low CAPEX • Strategic operation results in low OPEX
Scalability	• CURVES can expand very quickly due to low-cost models and franchise fees • The ability to target the uncontested market to develop further • Only takes 12 weeks to set up and open a new studio
Networking effect	• Creates a friendly and supportive community which encourages referrals • Referral rate: 30-40% • An established customer base with 2.5% conversion rate from leads to members • Partnerships with KOLs and marketing companies
Outstanding figures	• 9,700 current members • Financial data TBU

Vietnamese Women Are Currently Underserved By The Fitness Industry

The Locations & Prices Of Fitness Centers Are Demotivating Participants

Changes in modern society and the fast-moving world today has forced people to change their way of exercising

There are several reasons for Vietnamese people to sign up for their gym or fitness centers, among criteria, two leading reasons that drive the customer's choices are



Source: **Statista 2021**

However, the average costs of gym memberships in Vietnam are not really friendly



According to Q&Me (2021), 72% of people surveyed pay for their exercise, while the other 28% are the free users. In addition, the majority of paid users are only willing to pay less than \$15 per month for a gym membership, which obviously does not match the offered packages of the largest gym chains in Vietnam.

Source: **Q&Me 2021**

VIETNAM HAS A LARGE POPULATION

Total population
98 million people

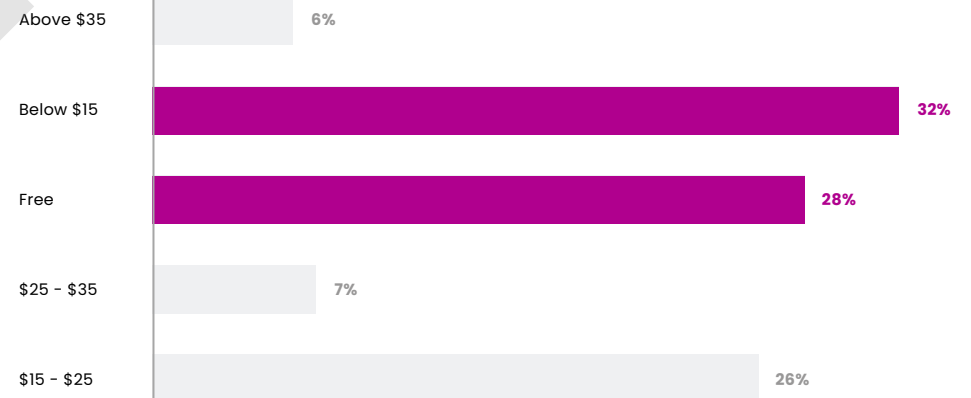


2022
Vietnam
ranks 15th among the most
populous countries in the world

Huge market for women-focused &
mass fitness chains to grow
**but the number of gym chains
remains relatively small in
comparison to the market size**

MONTHLY SPENDING ON EXERCISE

72% are paid users while 28% are free users



Uneven Distribution Of Fitness Studios In Vietnam

Large & reputable gym chains

only focus on operating in 2 biggest cities



HCMC & Hanoi accounted for 92 gyms

while there are only 107 gyms in the country



Source: UNICEF's SDGCW survey (2020–2021) & Statista 2022

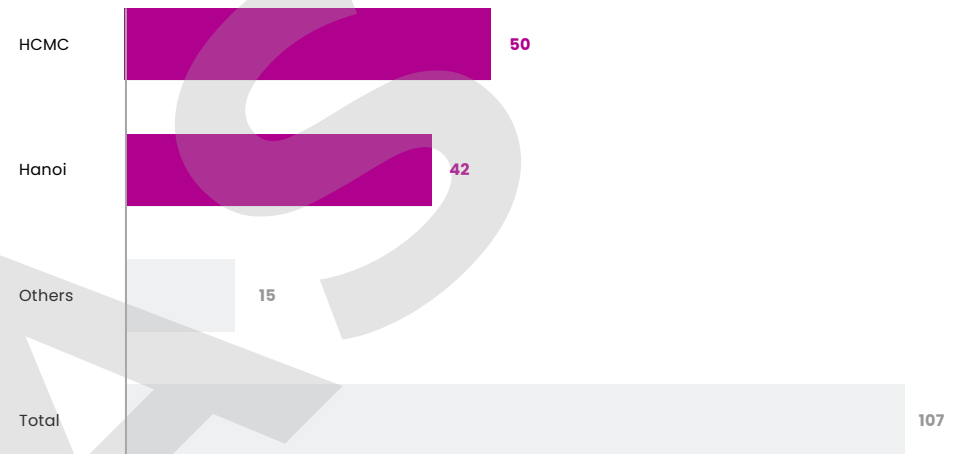
The Costs To Open Or Franchise A Gym Or A Fitness Center Are Extremely High

The cost to open a gym is subject to the gym size and its class, but on average, it costs \$80–\$90K to open a high class 250–350 sqm gymnasium.

High-cost to open a high-quality gymnasium makes it unaffordable for low and mid-income people in Vietnam, especially for those who are price sensitive



NUMBER OF GYMS



Gym Size	Cost	Features	Target Customer
100–200 sqm	\$13K–\$20K	Narrow space with low-quality gym facilities Inconvenient location Often does not have an AC system Does not have a PT team	Only target local residents and mostly men Low & middle-income customers
250–350 sqm	\$80K–\$90K	Qualified gym machines with AC system Easily accessible location Usually has a PT team	Middle to high-income customers
500–1000 sqm	\$100K+	High-quality gym machines and facilities Certified PT and staffs Outstanding location and/or in high-income residential area Additional services and features such as a sauna & swimming pool Many added values for different packages	High & ultra-high income customers

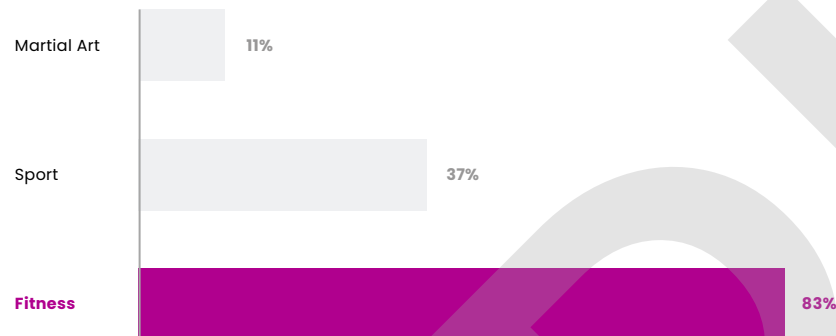
Too Many Obstacles Discouraging Women To Participate In Gym Fitness

WOMEN'S BARRIERS IN GETTING FIT

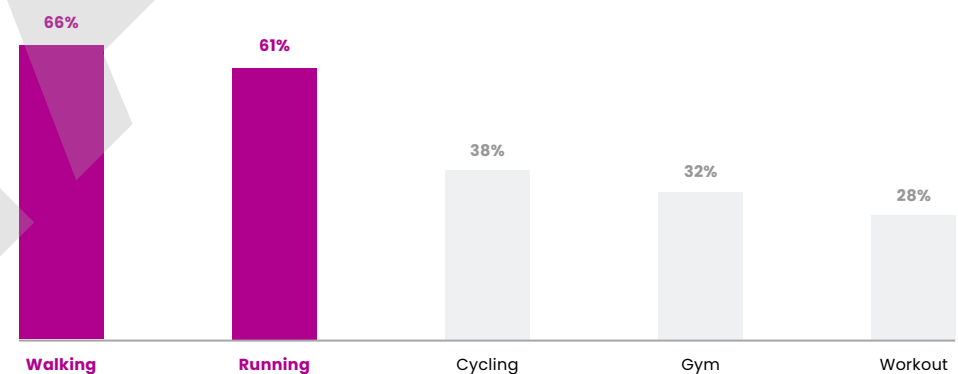


It Is Not Easy To Change Vietnamese's Exercise Habits, Which Are Mainly Focused On Running, Walking & Tai Chi

AMONG EXERCISE ACTIVITIES, FITNESS REMAINS PEOPLE'S TOP CHOICE



WALKING & RUNNING ARE MOST FAVOURABLE CHOICES IN DOING FITNESS



Walking and running most favourable due to the no-cost advantage. Besides this, older women also prefer doing tai chi or dance-fit in public places in the early morning rather than going to the gymnasium due to the same-sex orientation in these activities & the communal aspects.

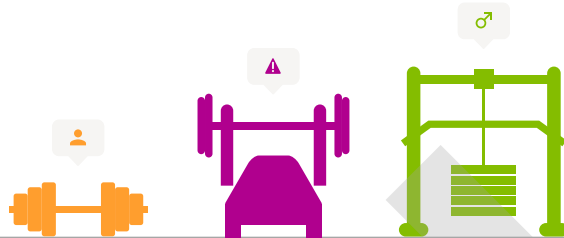
Not Many Gym Or Fitness Chains In Vietnam Focus On Women's Experience Only

Women-focused gyms are hard to come by in the country

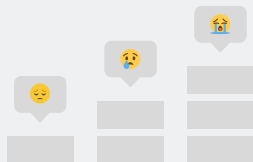
There are many smaller and low-cost venues which can be found, they carry more equipment than those of a makeshift nature. The downside is that these facilities often lack certified trainers, have no instruction, and are not suitable for women, especially for those belonging to Generation X – who are low-tech and find it difficult to use modern machines.

Most gym chains provide mixed-gender environments

where males and females work out together in the same space, using the same gym machines and facilities.



Increase the chance of an uncomfortable environment for women who might **fear being judged, harassed, or assaulted by the opposite gender.**

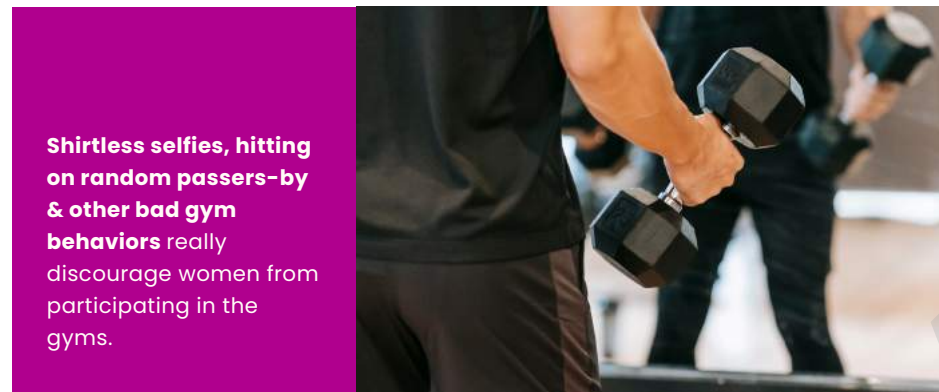


Might **discourage women from participating.**



Female participants do not feel safe and comfortable

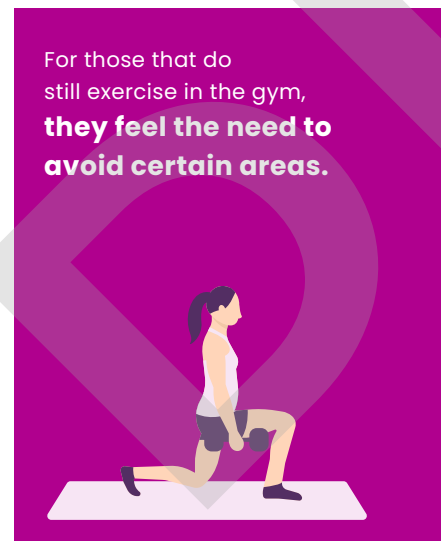
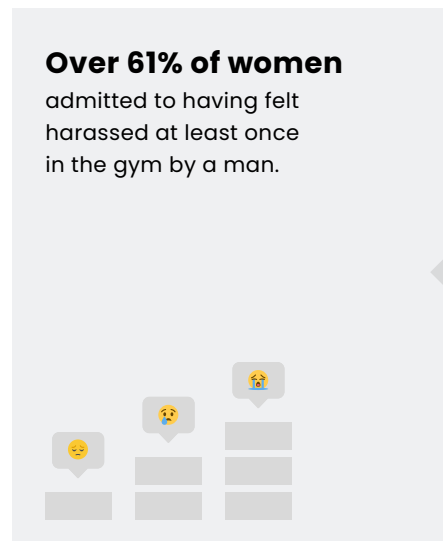
when working out in those environments.



Shirtless selfies, hitting on random passers-by & other bad gym behaviors really discourage women from participating in the gyms.

Source: **Origym's Research**

There are numerous harassments that women and other vulnerable gym-goers have to suffer at their workout places.



Women are usually victims of harassment at gyms and other public places.

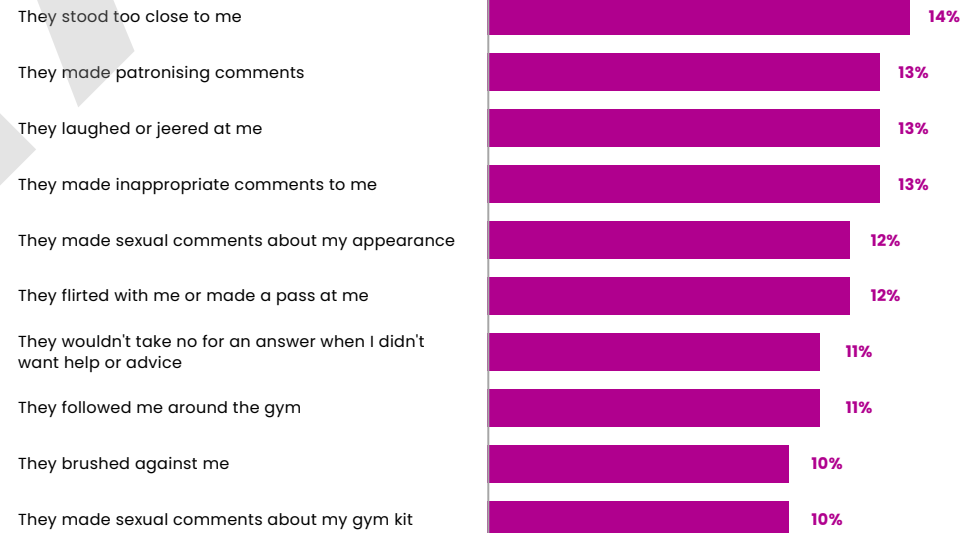


Transgender, non-binary, and gender fluid gym-goers also report the same sexual harassment.



3 in 5 women have experienced intimidation & harassment while working out.

THESE ARE THE TOP WAYS FEMALE GYM-GOERS HAVE FELT HARASSED BY MEN IN THE GYM



Obstacles Women Face When Participating In Gym

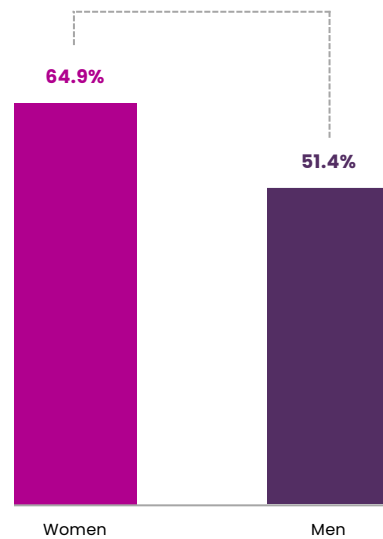
Lack of time including household duties



Many women take on the mantle of housekeepers, and child-rearing and have to work for earnings. This huge amount of work makes them have no time for themselves.



Anxiety or fear of judgement

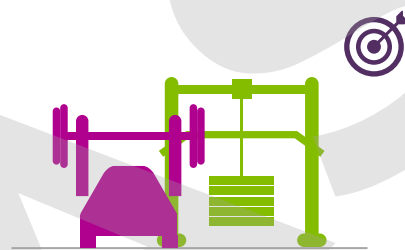


Both genders are fear of judgement at gyms, but women have become apprehensive about working out at the gym because of what other people thought

Lack of motivation

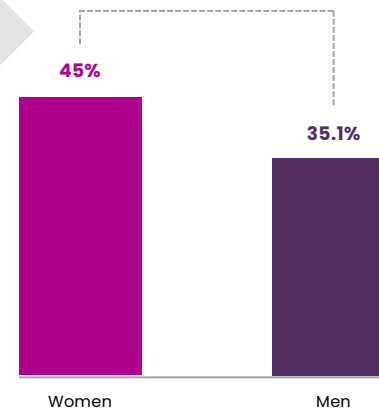


Women usually feel discouraged without a gym partner to go with. Another reason females may not be motivated to exercise is that they view it as being difficult. The images of people struggling to make it through their workout really discourage women from going to gyms.



Women are also more price-sensitive to gym memberships and value the convenience of locations more than men

According to Rakuten Insight (2020), women are more price sensitive than men in signing up for gyms or fitness studios.



Up to 45% of female respondents say that the monthly fee has to be affordable & aligns with their budget

Vietnam's Growing Economy Results In Rising Consumer Spending

Vietnam To Become Southeast Asia's Fastest-Growing Economy

Increase in GDP



The first half of 2022 saw an economic rebound as the Covid-19 pandemic restrictions eased following the effectiveness of the living-with-Covid strategy.



In 2022, Vietnam's economy is expected to grow 7% and is the only significant upward revision among major Asian economies.



According to Statista (2021), Vietnam's GDP per capita is projected to reach US\$3.94K by the end of 2022 and steadily increase with a CAGR of 9% to surge to US\$5K in 2025.

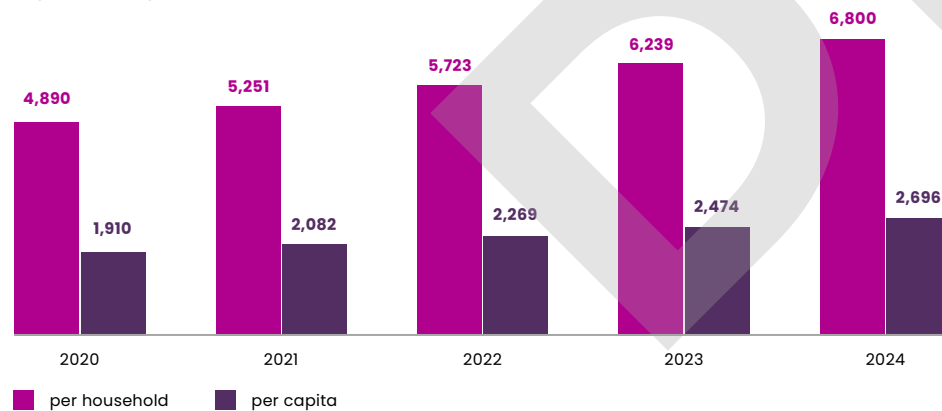


Vietnam's GDP has grown

Source: IMF, Statista

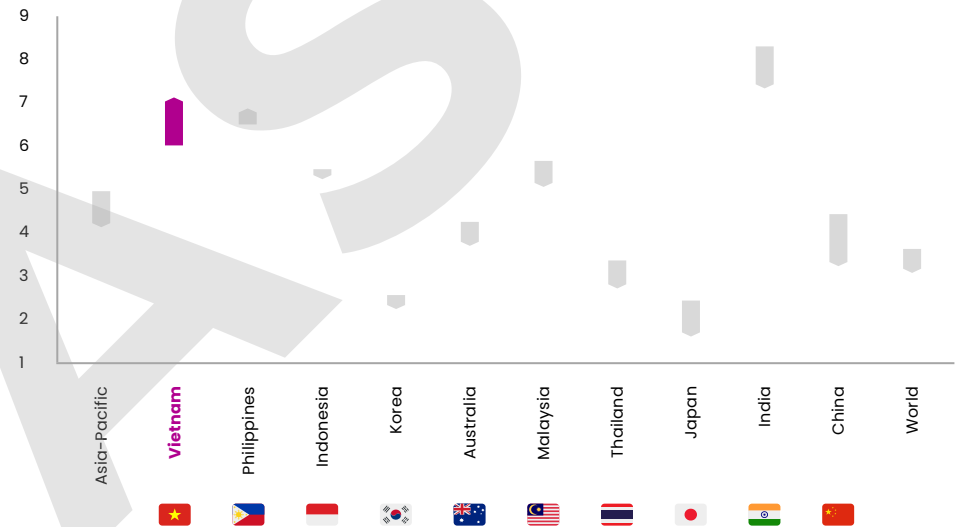
DISPOSABLE INCOMES

From 2020 to 2024



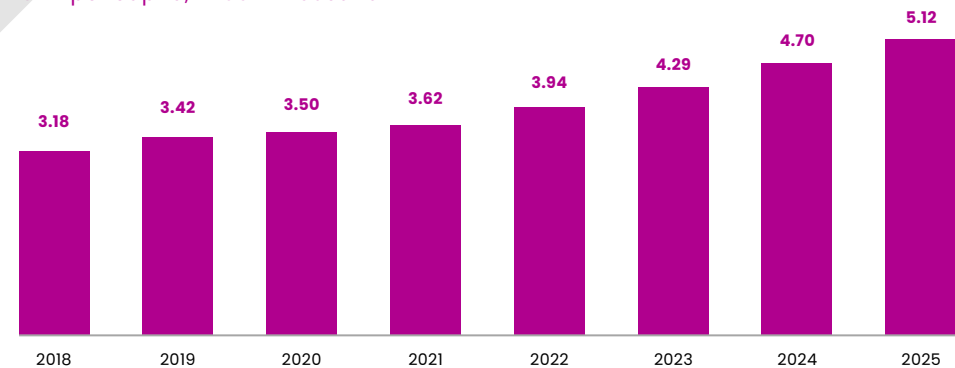
REVISIONS TO 2022 GROWTH FORECASTS

Difference between Apr & July projections, percentage points



GROSS DOMESTIC PRODUCT

GDP per capita, in USD Thousand

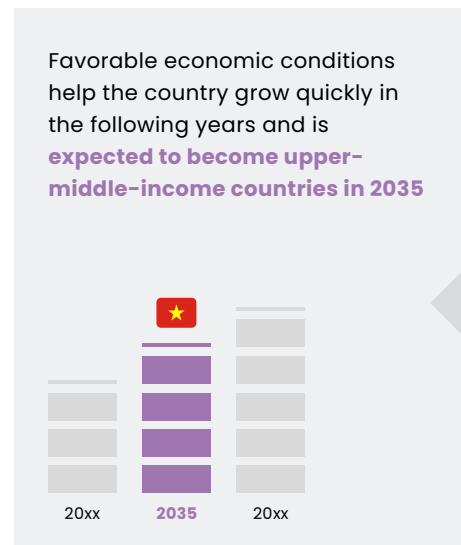


Source: Statista 2021

Strong recovery was driven by the export sector, the success of Covid-19 control methods and anticipated international tourist arrivals

- When considering both 2020 and 2021, Vietnam has been one of the only economies to register two consecutive years of growth since the widespread of Covid-19 pandemic.
- Vietnam has become the destination of multiple supply chain and manufacturing relocations, due to strong economic fundamentals and a favourable investment environment when compared with neighbouring markets.
- Vietnam remains of the largest suppliers of US goods imports in 2018-2020 with the CAGR of +27%.
- According to the General Statistics Office, Vietnam's GDP rose 7.72% in the April-June period from a year earlier, faster than a revised 5.05% in the first quarter. This surpasses the median estimate for a 5.9 percent expansion as per Bloomberg.

Source: IMF

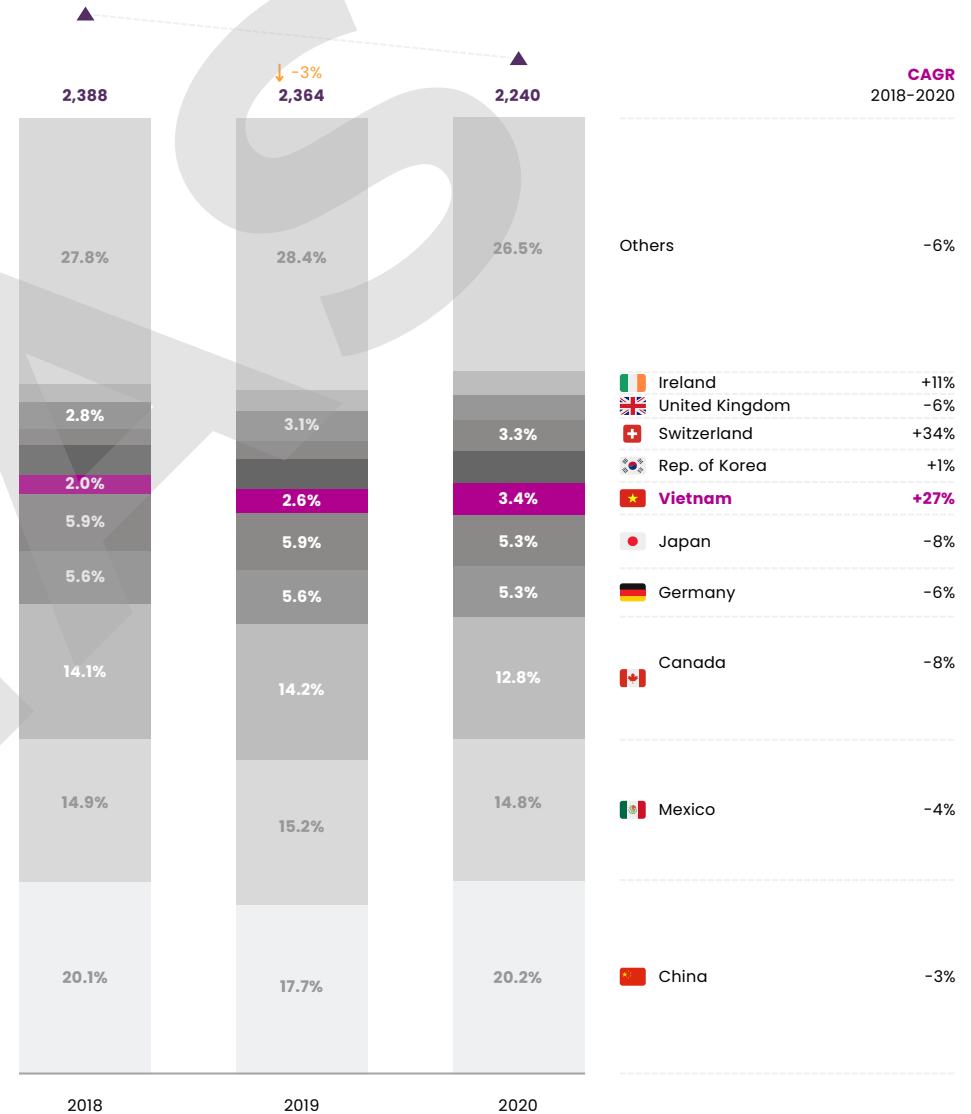


Source: UNComtrade & PwC Research



TOP SUPPLIERS OF US GOOD IMPORTS

From 2018 to 2020, in USD Billion



Vietnamese, Especially Women, Care More About Health & Lifestyle

82%

Vietnamese are looking for information related to healthier lifestyles



87%

Vietnamese have made changes to be healthier



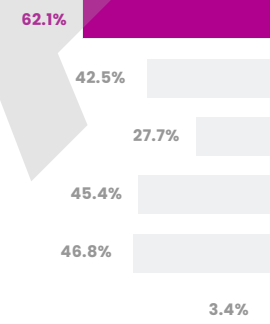
Source: **GlobeScan research, supported by VISA**

- **54% of Vietnamese** current mental and physical health are less than ideal
- **64% of Vietnamese** believe exercising more is 1 of the top factors for better physical and mental health
- **Workouts are considered** to be the most popular activity that Gen Z & Gen Y choose to take part in
- **94% of women** prefer fitness over other exercise activities as Vietnamese female have less interest in sports than male but express an higher interest over fitness

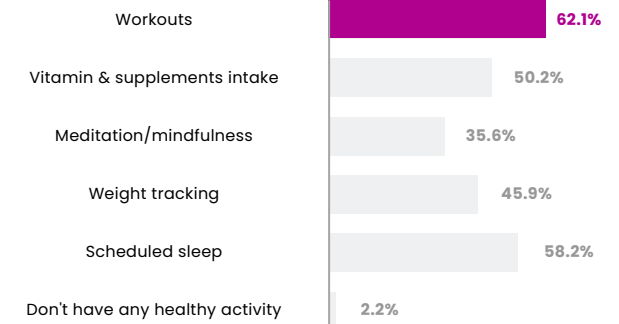


WHICH HEALTHY ACTIVITIES DO YOU TAKE PART IN BESIDES EATING HEALTHY?

Gen Z



Gen Y

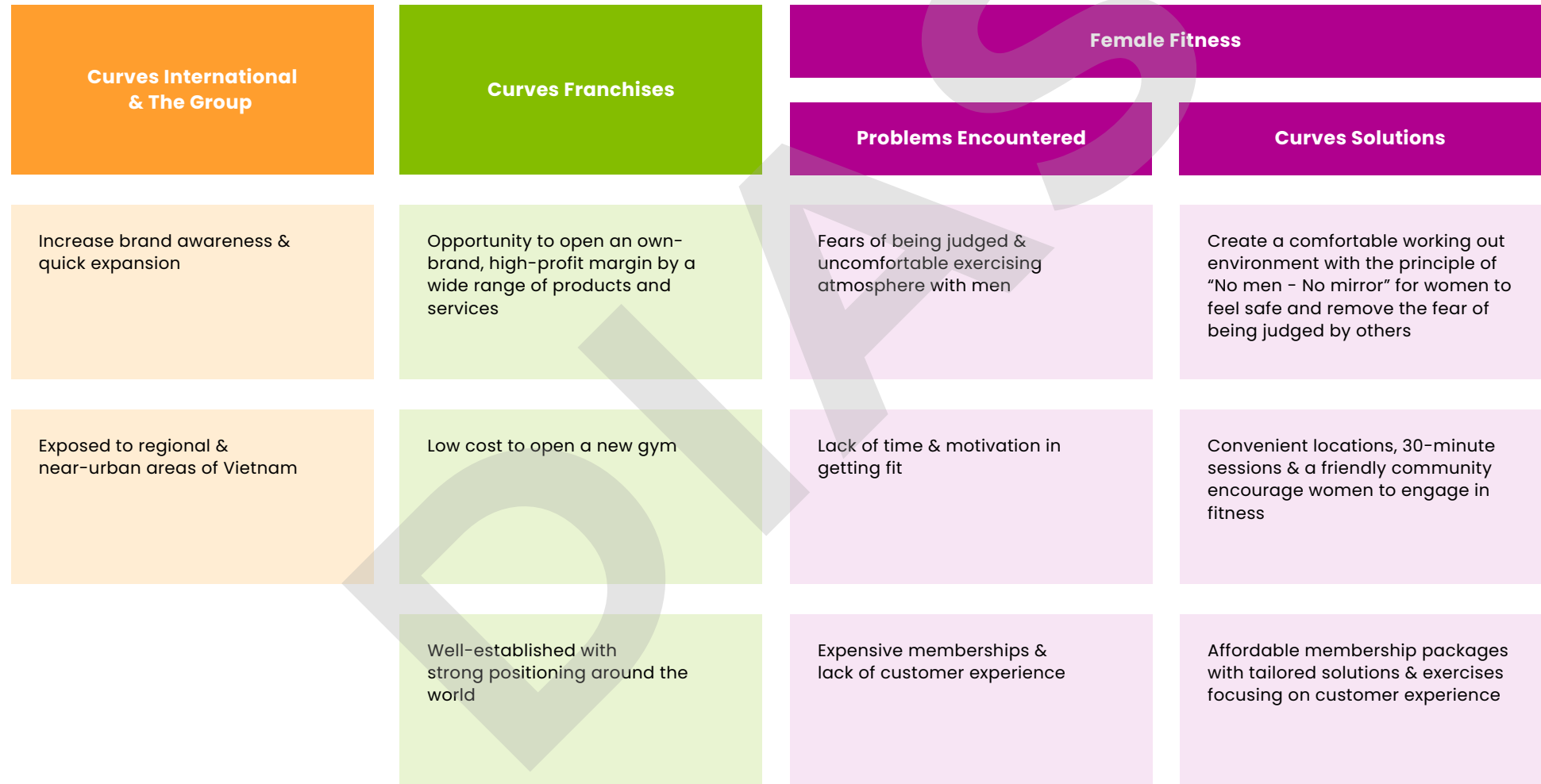


More and more women paying attention to their physical health and appearance in the public helps **expand the market for women-focused gyms and fitness centers**



Source: **Herbalife Nutrition Asia Pacific Health Inertia Survey 2021, Vietcetera 2022, Q&Me Research 2021**

CURVES Exists And Grows To Resolve Current Issues And Provide Values To Related Parties



Intangible Assets

Tried & Tested Business Model With Proven Success

Penetrate the unaddressed market & customers



Establish a customer base that could encourage Word-of-Mouth/organic growth



Strategic expansion plan & locations to utilise leads & approach potential customers



World's Records for
Fastest Growing Franchise
Fitness Business Franchise



Human Resources

Experienced management

01	02	03	04	05	06	07	01	02	03	04	05	06	07
08	09	10	11	12	13	14							

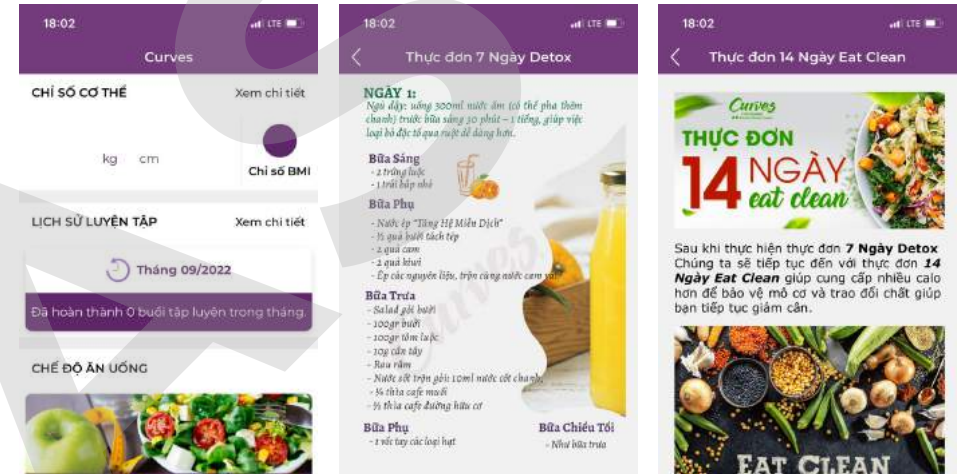
Founder

14 years of experience in operating & franchising Curves

Operation Managers & Mentors

7+ years of experience in operational experience

Mobile App



-  Provides value-added services to members such as nutrition consultancy, workout measurement and recording.
-  Connects customers with the management system, manages revenue stream and reduces fraud risks.

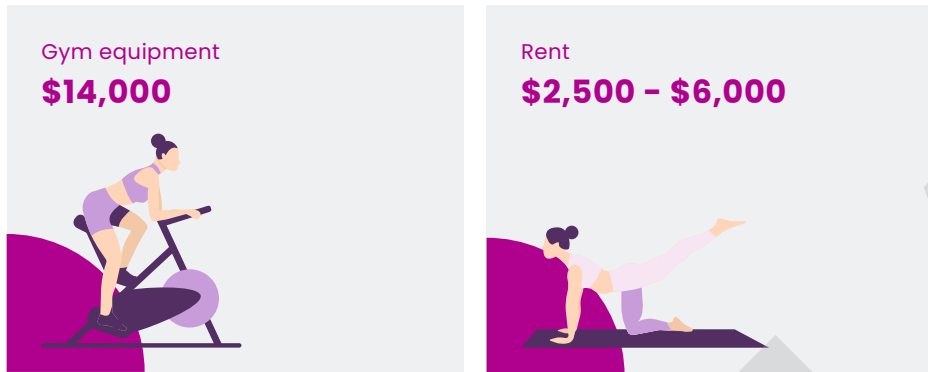
Effective training program and materials

help a representative become a certified trainer within 2 months.

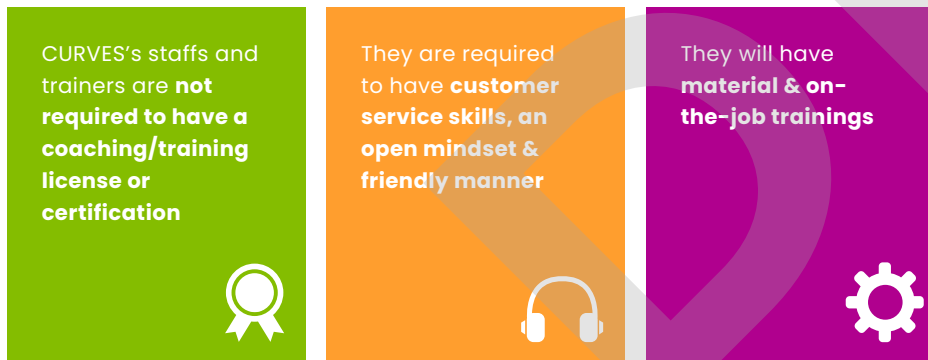


Cost Leadership

Studio Model With Small Lease Space Requires Low CAPEX

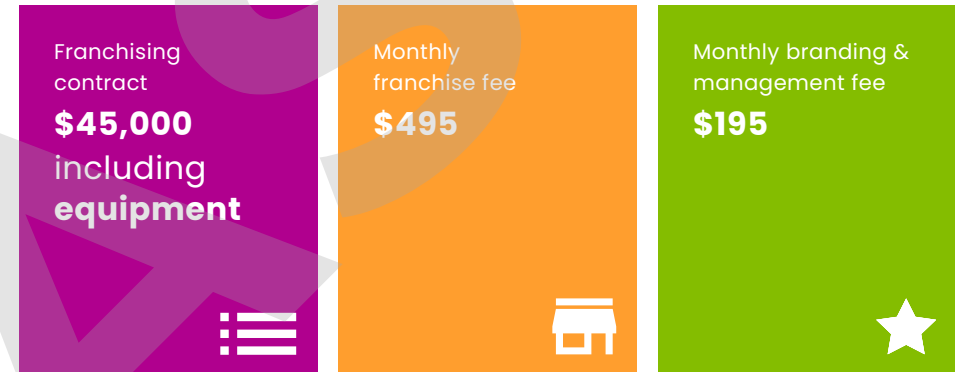


CURVES Does Not Require Certified Trainers To Operate



Incurs **lower labor costs**

Low Cost Of Franchising That Helps Expand Quickly



Low Cost Of Operation Due To Limited Hours Of Operations

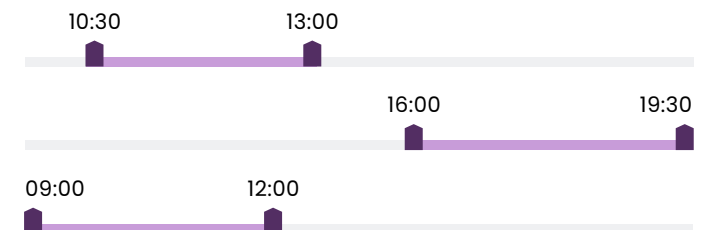
Based on experience and research, CURVES only operates during women's preferred hours and free time

OPENING HOURS

Monday - Friday
morning

Monday - Friday
evening

Saturday
morning



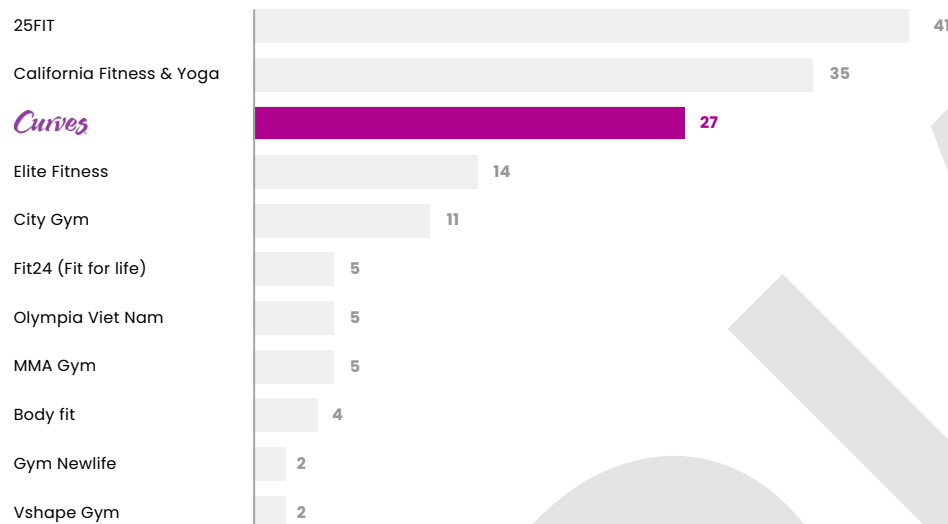
Save costs on utilities including electricity & labour

Scalability

Can Expand Very Quickly Due To Low Cost Models & Franchise Fees

LEADING FITNESS GYM BRANDS VIETNAM 2022

By number of studios

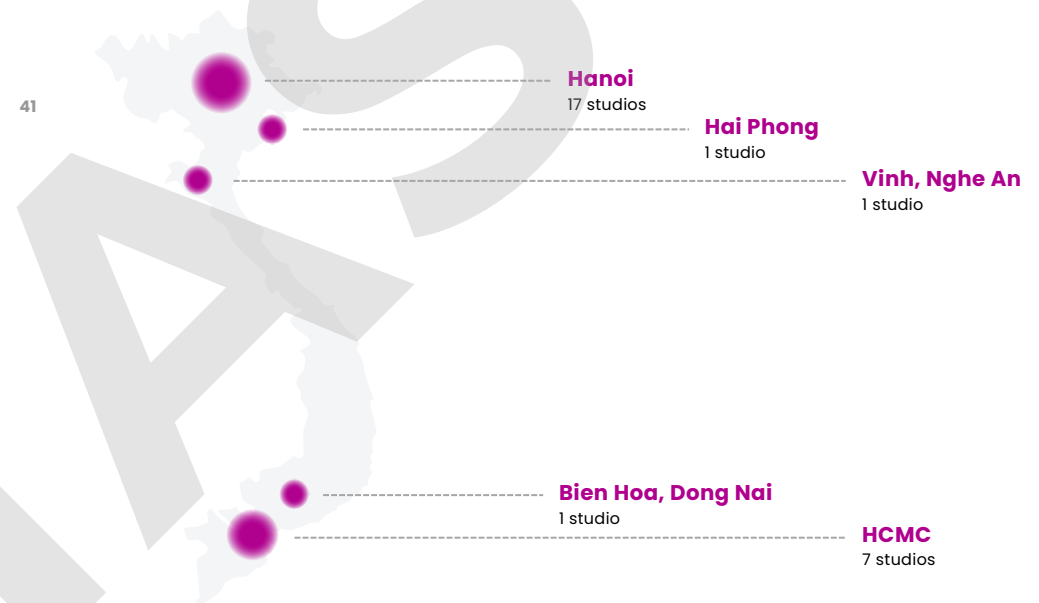


AS OF SEPTEMBER 2022



Source: Herbalife Nutrition Asia Pacific Health Inertia Survey 2021, Vietcetera 2022, Q&Me Research 2021

Small Store Model With A Focus On Quantities To Pursue A Broad Coverage



Curves Business Model Only Takes 12 Weeks To Set Up & Open A New Studio, Including

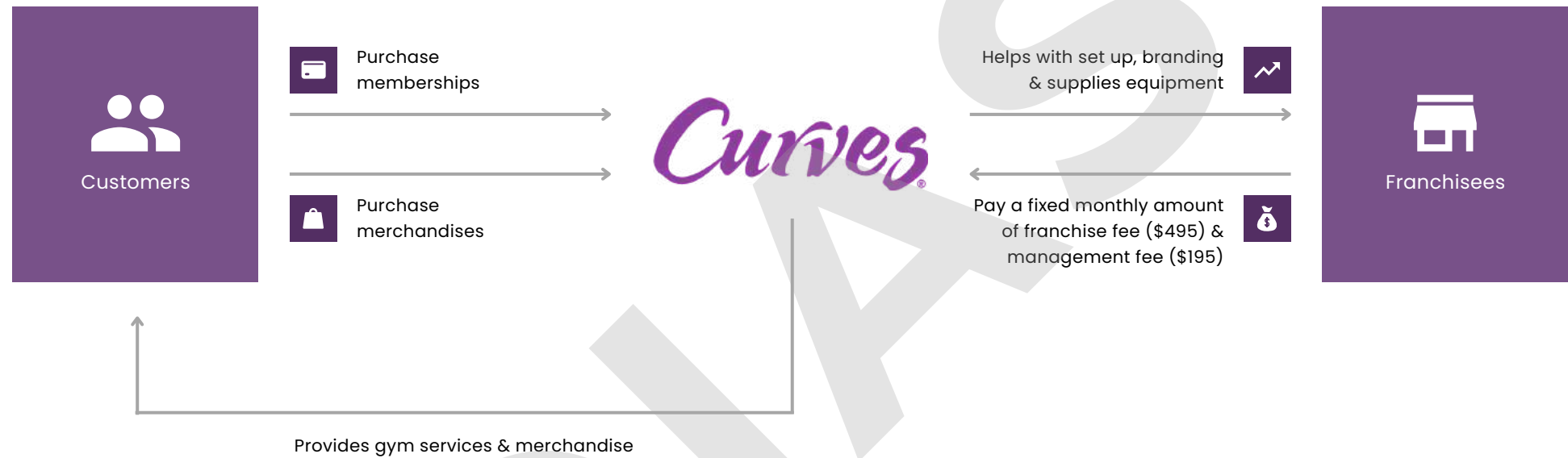
Equipment transfer & guidance



Staff training



Business Model



Fitness Industry In Vietnam Is One Of The Promising Business Sectors To Follow The Awareness Of Vietnamese People Who Value A Healthy Lifestyle

High Level Of Population With Great Potential For The Fitness Industry

Women population
49.41 million people



Men population
49.1 million people



2021
98.51 million people
Vietnam's total population

Fitness industry is expected to continuously expand due to larger demands from people who want to get fit and the rising in citizens' disposable income in the following years

Average annual spending
on gym memberships
US\$200

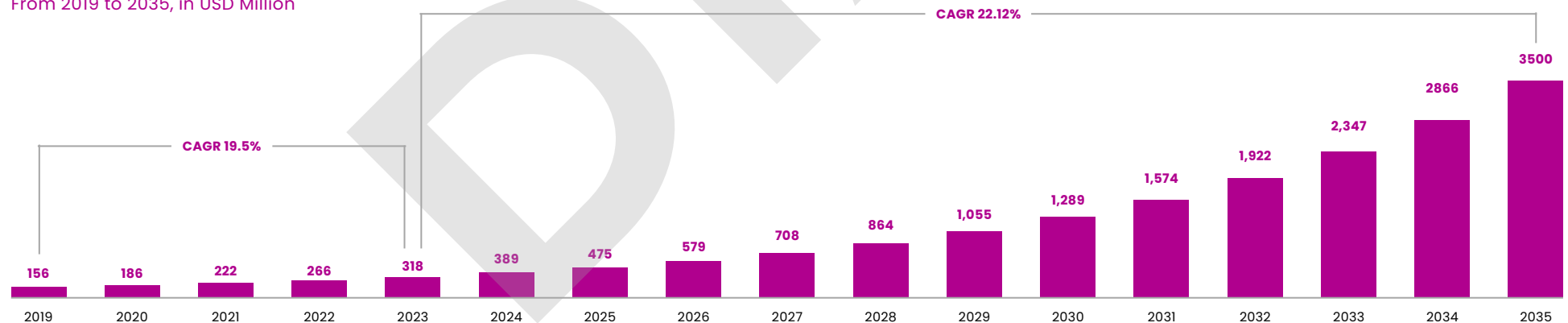


Economic growth, COVID-19 pandemic & the rise of fast-food chains in the country are among factors that shift Vietnamese exercising habits. An increasing number of people recognizing the dangers of unhealthy lifestyles creates a promising future for the health and fitness businesses in Vietnam.



VIETNAM FITNESS MARKET VALUE

From 2019 to 2035, in USD Million



Source: Ken Research, Statista and Cekindo 2021

Rising Demand For Nutritional Supplements

Vitamins and Dietary supplements retail value surges as people are seeking ways to passively improve their health

According to Passport (2021), the market of nutritional supplements will reach US\$1,072.3mn in 2022 and steadily increase in the next 5 years to touch US\$1,678.3mn by the end of 2027 with the CAGR of 11.6%.

Source: **Passport 2021**

Double revenue of weight management and wellbeing market in the next 5 years

Sales of weight management and wellbeing products is US\$655mn in 2021 and is expected to register US\$1200mn by the end of 2026, with the YoY growth rate of 9.1%, which is nearly double of current year.

Source: **Passport 2021**

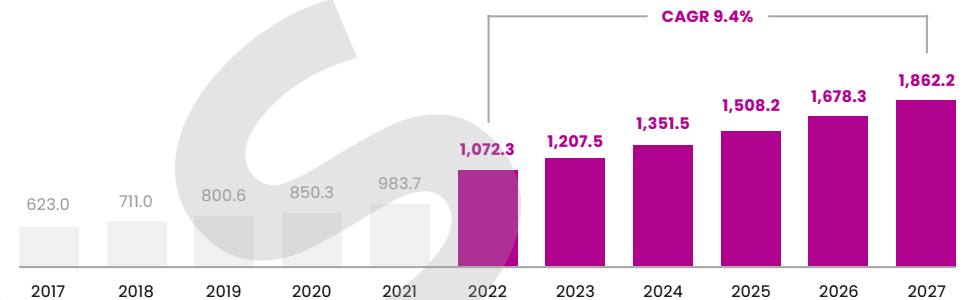
Supplement nutrition drinks account for the largest share of the industry revenue

In 2021, supplement nutrition drinks account for US\$398.1mn in revenue and is projected to grow at a double digit rate from 2021 to 2026.

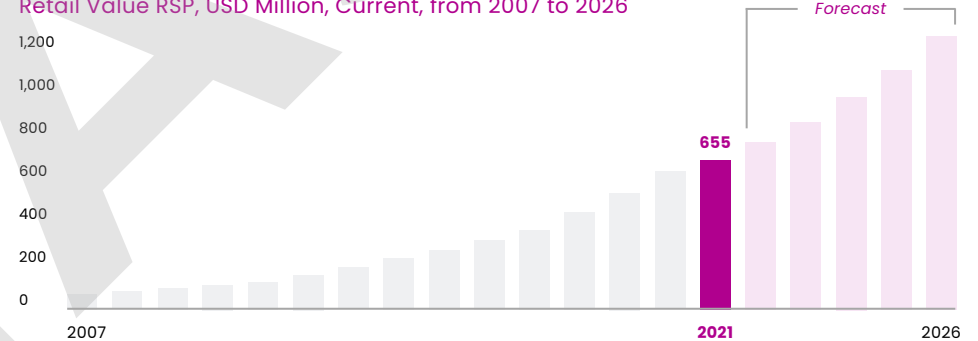
Source: **Euromonitor 2021**

● Current year % growth ■ % CAGR 2016-2021 ■ % CAGR 2021-2026

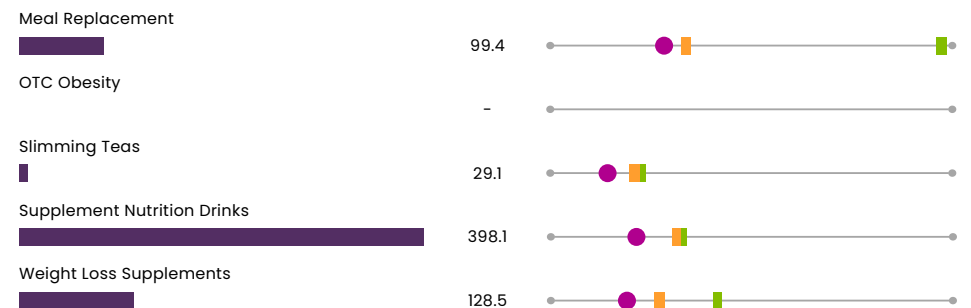
VITAMINS & DIETARY SUPPLEMENTS RETAIL VALUE In USD Million



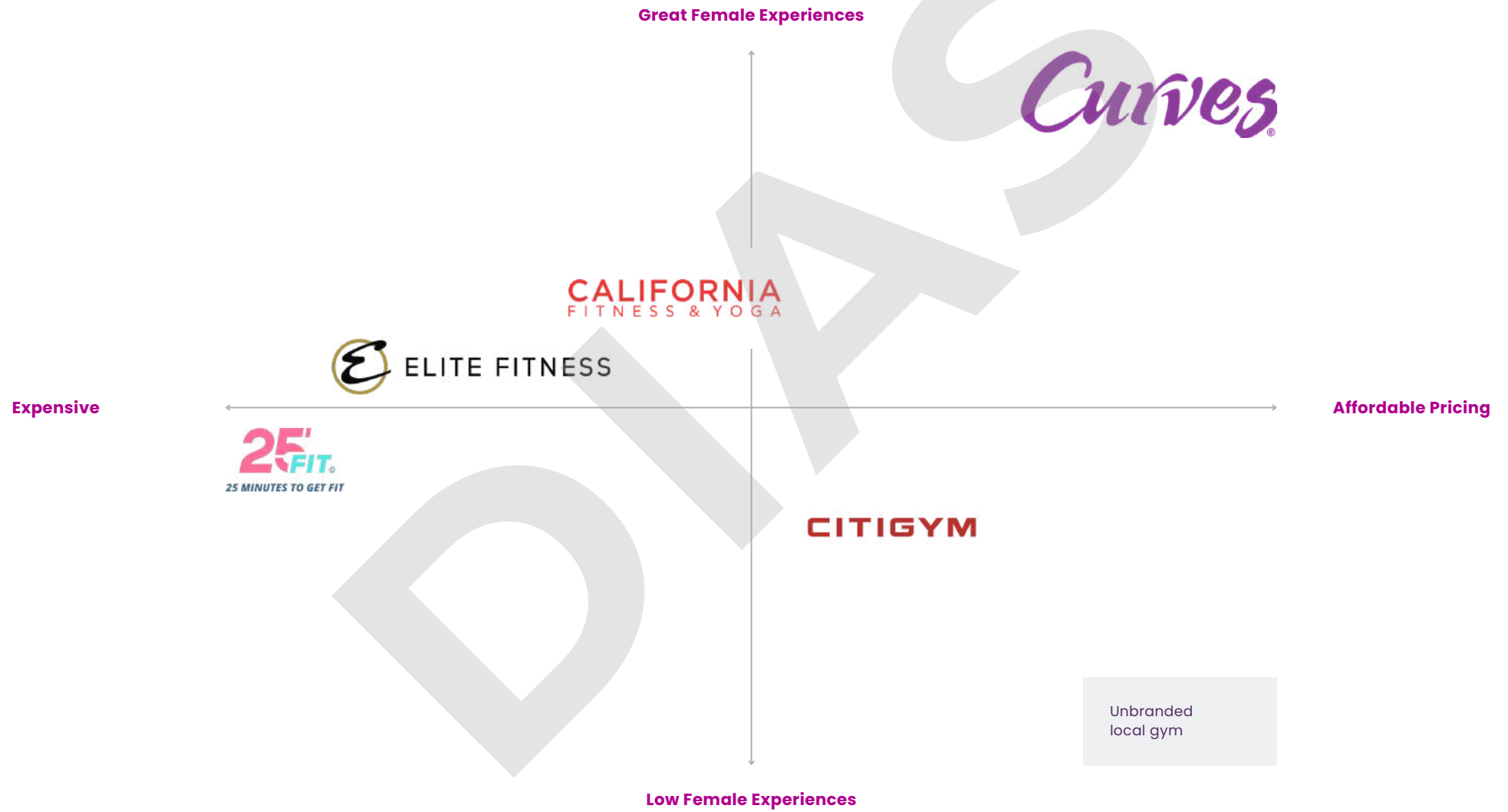
SALES OF WEIGHT MANAGEMENT & WELLBEING BY CATEGORY Retail Value RSP, USD Million, Current, from 2007 to 2026



SALES OF WEIGHT MANAGEMENT & WELLBEING BY CATEGORY Retail Value RSP, USD Million, Current, 2021



Competitor Analysis



Comparables		 25 MINUTES TO GET FIT			 ELITE FITNESS	Unbranded Local Gyms
Classes	■ Fitness	■ Fitness	■ Fitness ■ Dance ■ Yoga ■ Kick Boxing	■ Fitness ■ Cycling ■ Dance ■ Yoga	■ Fitness ■ Dance ■ Yoga ■ Meditation	■ Fitness
Services	■ Group Training ■ Personal Training ■ Independent Workout	■ Personal Training ■ Small Group Training of 2-3 people	■ Group Training ■ Personal Training ■ Independent Workout	■ Group Training ■ Personal Training ■ Independent Workout	■ Personal Training ■ Group Training	■ Independent Workout ■ Personal Training
Province Coverage	5 provinces	4 provinces	8 provinces	HCMC only	5 provinces	Local area
Number Of Studios	27	41	35	11	14	1-2
Pricing	■ \$25-\$30/month	■ \$120-\$240/month	■ \$21-\$33/month Limited hours & locations - no trainer ■ \$94-\$1,300/month Unlimited hours & locations	■ \$32/month 3-year membership plan ■ \$85/month	■ \$42/month limited hours	■ \$12-\$15/month
Strategy	■ Women Focus ■ Location Coverage ■ Convenience	■ Fast & proven results	■ Affluent experience	■ Modern & convenience	■ Train-for-results	■ Affordable pricing
Female Experience	Extremely High ■ Solving the unaddressed women's barriers in fitness	Moderate ■ Customer privacy is low as part of the marketing strategy ■ 25 FIT members can be seen from the street/ outside while exercising	Moderate ■ Mixed environment where men and women work out together	Moderate ■ Mixed environment where men and women work out together; however, CITIGYM has a higher participation rate of male members	Moderate ■ Mixed environment where men & women work out together	Low ■ Unstandardized operation targeting price-sensitive customers ■ Mostly men ■ There is little to no strategy to improve customer experience